

AT A GLANCE

- 1 **Shares of Hindustan Aeronautics, Bharat Electronics and Bharat Dynamics advanced 17%, 20% and 29%, respectively, during April 22-May 19**
- 2 **India achieved the highest-ever growth in indigenous defence production in value terms during financial year 2023-24**
- 3 **The combined consolidated net profit of listed defence players surpassed ₹17,000 crore in FY24 against around ₹5,000 crore in FY14. Likewise, gross sales increased to more than ₹85,000 crore from ₹33,000 crore in FY14**
- 4 **The key triggers for the defence sector are typically macro-level policy shifts, large-scale order inflows and geopolitical developments**
- 5 **Technological barriers, dependence on imported components for certain high-end systems, regulatory complexities in procurement and slow decision-making can hamper the growth of the sector**

crore in FY15. The proven capabilities of indigenous systems like the Akash and BrahMos missiles are expected to drive renewed global interest and boost export opportunities.

Pranay Aggarwal, Director and CEO of investment platform Stoxkart believes Indian defence exports are expected to grow significantly in the coming years, driven by strong government policy support, rising global demand, and improved capabilities of domestic firms. "With a target of ₹35,000 crore in exports by 2025, India is well-positioned to become a key global supplier," he says.

These policy measures have delivered tangible results. The country achieved the highest-ever growth in indigenous defence production in value terms during financial year 2023-

a massive jump in the past 10 years. The combined consolidated net profit of listed defence players surpassed ₹17,000 crore in FY24 against around ₹5,000 crore in FY14. Likewise, gross sales increased to more than ₹85,000 crore from ₹33,000 crore during the same period.

Vipul Bhowar, Senior Director, Head of Equities of wealth advisory firm Waterfield Advisors says the consensus estimates suggest that the sector's earnings are expected to grow at a healthy rate of 15%-20% over the next two years.

"In recent years, the industry has experienced a notable improvement in its cash conversion cycle, primarily due to more timely government payments," Bhowar says.

Some of the leading defence

THE MAKE IN INDIA PROGRAMME HAS BEEN INSTRUMENTAL IN PROMOTING INDIGENOUS MANUFACTURING

24. The value of defence production climbed to ₹1.27 lakh crore, marking an impressive 174% increase from ₹46,429 crore in 2014-15, according to data from all Defence Public Sector Undertakings (DPSUs), other public sector units manufacturing defence items, and private companies.

The country now targets ₹3 lakh crore in defence production by 2029, strengthening its position as a global defence manufacturing hub.

Narinder Wadhwa, MD and CEO of financial services provider SKI Capital Services says, "Policy initiatives like 'Make in India' and the increase in FDI limits (up to 74% under the automatic route) have significantly improved the sector's structural outlook."

SOARING EARNINGS

The top line and bottom line of defence companies have witnessed

companies such as Hindustan Aeronautics had an order of ₹1.84 lakh crore as of March 31, 2025, Bharat Electronics ₹71,100 crore on January 1, 2025, and Mazagon Dock Shipbuilders, ₹34,787 as of December 31, 2024.

Considering the robust order book and the present geopolitical environment, Anil R. of Geojit Investments says, "Given current geopolitical situation and moderation in metal prices, we anticipate the earnings to grow by over 20% over the next few years with a meaningful improvement in top line growth led by better execution."

THE NEXT DRIVERS

The key triggers for defence sector are typically driven by a combination of macro-level policy shifts, large-scale order inflows, and geopolitical developments.